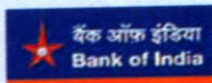


# High On Education



**B**OI the first PSU Banks to have introduced the system of "on line application for Education Loan" having a substantial Educational Loan portfolio of over Rs.1000 crores as on 31.3.2009 and have financed more than 75000 students for studies in India and abroad.

Do you have enough enquiries for availing Educational loans in India? Is society comfortable with the concept of loan to fund their children's education?

Indian society generally believes that it is the duty of the parents to meet the growing requirements of their children. It is treated as a necessity on par with food & shelter. However, as long as the cost of education was manageable this cultural concept was also manageable. With the cost of education going up and Higher Education becoming costly, it is no longer possible for a middle income group family to meet the cost of education of their children. Hence more and more families are availing education loan, at least for higher studies. Our constant print media advertisements give visibility to our products. We also make marketing efforts at the time of admissions to the prestigious institutions.

What has been the BOI experience vis à vis repayment of education loan?

We are very happy to place on record that our portfolio of education loan has been healthy and less than 1% of our education loan portfolio is irregular. Even this irregularity has been a recent phenomenon, possibly due to difficulty in getting immediate employment. These issues are being addressed by

deferring the repayment schedule and giving the students and parents more time to repay the advance.

What are the requirements for a student to get student/education loan from Bank of India?

Our Bank, as a premier Public Sector Bank, has adopted the model guidelines of "Indian Banks Association" in formulating our education loan scheme. Courses offered by Colleges/Institutions affiliated to State funded Universities and professional courses leading to Masters Degree, etc. approved by AICTE are eligible for finance. Courses pursued abroad in Universities recognized by the local Governments are also eligible for finance. The students need to approach any Bank Branch which is closest to his permanent residence of his parents. Generally one of the parents of the student should become a co borrower for the loan. Our Bank's interest rate on education loan is one of the lowest and presently for loans upto Rs.4.00 lacs - 9.50%, and for loans between Rs.4.00 lacs to Rs.7.50 lacs - 10% and for loans above Rs.7.50 lacs - 10.75% p.a. There is additional concession of 0.50% to 1% for girl students.

How much are collaterals or other assets required while applying for student/education loan from BOI?

Bank does not insist for any collateral for education loans up to Rs.4.00 lacs. Third party guarantee is sufficient for loan requirements up to Rs.7.50 lacs. However, for loans above Rs.7.50 lacs, it is necessary that some collateral security is to be provided while availing the education loan.

**Shri M Narendra. Executive Director, Bank Of India**



Union Bank of India offers a bouquet of special schemes for those students desirous of pursuing education at IIMS/ IITs/NIT/ISB/IISC/XLRI/VIT/BITS/

Symbiosis Institute of Management/ S.P. Jain Institute of Management and Asian Institute Of Management, +2 stage besides recognized graduation and post graduation courses, professional courses, computer certificate courses of reputed Institutes, courses like ICWA, CA, CFA, courses offered by reputed foreign universities and evening courses of approved institutes besides courses leading to diploma/degree etc. conducted by colleges/universities approved by UGC/Govt/AICTE/AIBMS/ICMR etc with attractive features and concession in terms of margin and interest rates.

It also provides education loans to students pursuing school education including For studies abroad, Union Bank Of India provides education loans for job oriented professional/technical courses offered by reputed universities and post graduation courses like MCA, MBA, MS and courses conducted by CIMA-London and CAP in USA.

Union Bank of India has also introduced On-Line Education application wherein the student can apply on-line for his educational loan requirement. The student can avail the loan from nearest Branch to his place of domicile and get the In-Principle the sanction within 48 hours (Two- working Days) as the branches are spread out in Rural, Semi- Urban and Urban and Metro Branches all over India, Union Bank.

**The salient features of our Education Loan Scheme are as under:**

#### Quantum of Finance :

- Need based finance as per terms under Model Education Loan Scheme of the bank with margin and the following ceilings.
- Students in India - maximum Rs.10.00 lacs
- Students abroad - maximum Rs.20.00 lacs

#### Margin:

- Up to Rs.4 lacs - No margin
- Above Rs.4 lacs - 5% for inland studies and 15% for studies abroad
- Scholarship assistance to be included in margin
- Margin may be brought in on year-to-year basis as and when disbursement is made on a pro-rata basis.

**Processing Fees: No charges**

**Repayment: Repayment holiday / moratorium**

- 12 months after completion of the course or 6 months after securing employment, whichever is earlier.
- Loan to be repaid in 5-7 years after completion of the course period / moratorium.